

Information about your benefits when employment ends

MEDICAL, DENTAL, VISION, LIFE AND LONG-TERM DISABILITY INSURANCE

If you are benefits-eligible (i.e. 0.5 FTE or higher), your active benefits coverage will end the last day of the month in which you are employed. The exception is long-term disability coverage, which ends on your last day of active work. For some benefits, you and your enrolled dependents can continue coverage through COBRA or convert to individual coverage if you meet certain deadlines. The table below outlines your options for continuation or conversion coverage:

Benefit	Options and Deadlines
Medical, dental, vision and Health Care Flexible Spending Account	You and your covered dependents may continue the benefits coverage in effect as of your last date worked, through COBRA by paying the full cost plus a 2% administrative fee. You must enroll in continuation coverage within 60 days when provided information by Willis Towers Watson's BenefitConnect I COBRA team. Your severance details will include information regarding a cash payment that may subsidize your COBRA premiums for a period of time after your active employment ends. This payment is calculated based on your current plan elections and current COBRA premiums. You can also explore obtaining medical coverage through the federal or state health insurance marketplaces; visit www.healthcare.gov or call 800-318-2596 for more information.
Life insurance	You and your covered dependents may apply for conversion and/or portability with Securian. Securian will mail you information. You must apply and pay your first premium within 60 days from the date of your portability/conversion offer.
Voluntary accidental death and dismemberment insurance	You and your covered dependents may apply for portability with Securian. Securian will mail you information. You must apply and pay your first premium within 60 days from the date of your portability offer.
Long-term disability insurance	You may apply for conversion with Cigna for your long-term disability coverage. To ensure you will not be subject to evidence of insurability, you must apply and pay your first premium within 62 days from the date your active coverage ends. You can request a conversion form by calling Signa at 877-827-6890.

What should I expect next?

Willis Towers Watson's BenefitConnect I COBRA team will mail you a Notice of COBRA Rights and COBRA enrollment materials within 14 days of receiving notice of your qualifying event. The notice explains your rights and obligations to continue your benefits as allowed by COBRA. Please read this information carefully as deadlines do apply. You will have the opportunity to elect COBRA continuation online, on paper, or by phone. Should you have questions, please call the BenefitConnect I COBRA customer service team at 877-292-6272.

How long does COBRA last?

Coverage under COBRA may generally continue for up to 18 months beginning the first of the month following your loss of active coverage as a result of separation from employment.

Could COBRA eligibility end sooner?

Your COBRA eligibility will end sooner than the time outlined above if you fail to make premium payments on time. Also, COBRA coverage may end if you become covered by another group plan (unless the other plan limits or excludes coverage for a pre-existing condition affecting that person) or, in the case of medical care, entitled to Medicare.

How much does COBRA cost?

This depends on your current plan coverage and which dependents you enroll. COBRA rates are posted on the HR portal at Caregiver.eHR.com under the Resources tab. Please note that the COBRA rates are only available on the Resources tab when a caregiver is logged into the system - they are not available on the guest site. If you need additional help locating, please submit an Ask HR ticket or contact Benefits Service Center

(Benefits Service Center can be contacted at 888-615-6481) to review the premiums specific to your plan coverage. You are responsible to cover the cost of benefits and submit payment directly to Willis Towers Watson BenefitConnect | COBRA, the COBRA administrator.

What happens to my Health Reimbursement Account (HRA)?

If you are enrolled in the HRA Medical Plan and continue coverage through COBRA, the HRA associated with your plan will remain available and any unused funds can be used for eligible out-of-pocket medical, dental and vision expenses. You may be eligible to earn additional health incentives while enrolled in COBRA. You have one (1) year from your coverage end date to submit claims for reimbursement. If you have five or more years of service, you can use vested HRA funds deposited prior to 2016 in order to pay for COBRA, Medicare, and/or long-term care insurance premiums. Contact HealthEquity at 877-372-6667 with any questions.

What happens to my Health Savings Account (HSA)?

If you are enrolled in the HSA Medical Plan, your HSA will be converted to an individual account through HealthEquity and you can continue to access your HSA funds. Information on how this conversion affects your HSA will be sent to you from HealthEquity. You are not eligible to earn additional health incentives while enrolled in COBRA. Contact HealthEquity at 877-372-6667 with any questions.

How does a Health Care FSA work with COBRA?

You can continue contributing to your Health Care FSA on an after-tax basis through COBRA. If you continue your participation, the total amount you have elected to contribute for the year remains available to you. If you don't continue your enrollment and you have an available balance in your account, you may submit claims for services incurred before your coverage ended. The deadline to file claims is March 31 of the following year. Contact HealthEquity at 877-372-6667 with any questions.

DEPENDENT CARE FSA

You may not continue to contribute to your Dependent Care FSA during your severance period or thereafter. Dependent Care FSA claims which you incur through your last active date at work in the current plan year may be submitted until March 31 of the following year or until your balance becomes zero, whichever comes first.

OTHER VOLUNTARY DEDUCTIONS

All other voluntary deductions, such as donations to charity, or voluntary short-term disability insurance will stop with your last regular paycheck

PAID TIME OFF and EIB/EIT/ESL/SICK LEAVE

Paid Time Off

Your accrued PTO/Vacation balance, as of your employment separation date, will be paid along with any additional accruals on your final pay check.

Extended Illness or Sick Leave

Extended Illness (EIB, EIT, ESL) and/or Sick leave hours are not cashed out upon separation of employment, subject to your local HR policy. Please connect with your local HR Business Partner for more details. These hours are, however, retained in your records and will be available to you if you return to a benefit-eligible position within one (1) year of employment separation.

RETIREMENT SAVINGS PROGRAM

If you have an outstanding loan or a 457(b) Plan balance

Please contact Fidelity at 800-343-0860 within 30 days of your last day to ensure you understand next steps, timing, and tax implications.

403(b) or 401(k) Plan

If you are contributing to a **403(b) or 401(k) Plan**, your contributions will end with the last check you receive that includes hours for regular employment. If you wish to save more between now and your final paycheck, you may submit that election via NetBenefits.com. Severance payments are not eligible for deferral to a retirement savings plan. If your plan balance is over \$5,000, you may leave your account at Fidelity until age 70½, even after you've left the organization.

Outstanding Retirement Plan Loans

In the event you have an outstanding retirement plan loan, you must make repayment arrangements directly with Fidelity within the first 30 days following your separation from employment. If you do not set up ACH payments with Fidelity or pay off the balance of the loan in full, your loan will eventually default and create a taxable event for you. Fidelity will send you a warning letter before your loan defaults. It is important to respond timely to a warning letter and catch up on all outstanding payments in order to prevent default. There is nothing PSJH can do to reverse a loan's defaulted status.

Before you take a distribution of a 401(a), 403(b), 401(k) or pension plan

In general, taking a distribution (even a rollover) from one of these plans will trigger a 'reset' of your benefit service, meaning that if you return to work for the organization at a later date, your contribution level will start at the new hire level. (This will not affect your vesting service, though – once vested, always vested in a given plan.) If you have any questions about how a distribution may affect your PSJH retirement in the future, please review the Summary Plan Description and/or call Fidelity at 800-343-0860.

457(b) Plan

If you are contributing to a 457(b) Plan, your contributions will end with the last check you receive that includes hours for regular employment. If you wish to save more between now and your final paycheck, you may submit that election via NetBenefits.com. Severance payments are not eligible for deferral to a retirement savings plan.

If you have a 457(b) Plan balance

Please note that you have **75 days** from your last day of work to log on to the Fidelity NetBenefits website at [NetBenefits.com](https://netbenefits.com) to submit a distribution request. You do not have to take the money right away – you may make a future-dated distribution election if you wish – but Fidelity must receive your election by the 75th day. If you do not make an election, we are required to distribute your 457(b) Plan balance to you, minus applicable taxes, in the first quarter of the year following the 75th day after your date of separation.

457(b) Plan balances are not eligible for rollover

If you go to work for another tax-exempt employer that offers a non-governmental 457(b) plan, that employer may be willing to accept a transfer of your 457(b) Plan balance. The 75-day timeline will still apply. Your new employer is not required to accept such a transfer, so it's important to discuss this option with them as quickly as possible. You may wish to include Fidelity in the conversation to ensure you are clear on all the steps in the process.

Frozen 403(b) Plan (Swedish caregivers)

If you have a vested benefit in the frozen Swedish 403(b) Plan, please contact the provider of that benefit (Fidelity, Lincoln, Voya, PlanMember Services, or Empower) to review your options.

If you have a pension plan

If you have a vested benefit in a pension plan, please visit the Road2Retirement website and/or contact the Retirement Service Center to review your options. Depending on your age, you may need to take a full distribution of your pension plan balance as soon as possible.

Plan Vesting and Balance Limits

Determining your vested status: If you wish to verify the vested status of your benefit, please log on to the Fidelity NetBenefits website.

If your plan balance is over \$5,000: You may leave your account at Fidelity until age 70½, even after you've left the organization. According to IRS regulations, it will be necessary for you to begin taking required minimum distributions of your account balances at age 70½. A Fidelity representative can help you with your questions regarding the timing and amount of your required distribution. You may contact Fidelity directly at 800-343-0860.

If your plan balance is less than \$5,000, it will be subject to automatic distribution by Fidelity as outlined below. This distribution will generally occur by the end of the calendar quarter following your separation from employment unless you make an election for other arrangements, such as a rollover, by the deadline. Fidelity will send you a reminder to confirm the timing of the distribution.

- Balances under \$1,000 will be cashed-out
- Balances between \$1,000 and \$5,000 will be rolled into a Fidelity IRA.

Fidelity Retirement Planning for Caregivers with a Signed Severance Agreement

Within the next several weeks, you will be contacted by a Fidelity Retirement Planner to discuss the impact of severance on your retirement savings plan accounts. This is a service we are providing at no cost to you to ease your way. Your participation in this conversation is completely voluntary – you are under no obligation to speak with the Retirement Planner if you do not wish to do so.

The Retirement Planner can answer any questions you may have about your Fidelity account, or, if you choose to share information about other savings or pension accounts you have that are not held by Fidelity, the Planner can help you develop a long-term strategy for your retirement. If you wish to reach out to a Retirement Planner directly, you may call them at 866-630-9722.

Address changes

If you move to a new address after your separation, please update your address with the HR Service Center at 888-687-3753 and call Fidelity to make sure they have your correct information. If you haven't already, now is a great time to make sure Fidelity has an accurate personal email address and contact number for you.

Additional Questions?

If you have questions about any aspect of your retirement accounts you can contact Fidelity at 800-343-0860.

OTHER IMPORTANT INFORMATION YOU NEED TO KNOW

ADDRESS CHANGES

All correspondence, including your W-2, will be mailed to the last address reflected on your HR record. If you move to a new address after your separation, you must notify the HR Service Center by calling 888-687-3753 in order for you to receive your W-2 in a timely manner.

UNEMPLOYMENT BENEFITS

Once you have passed the "severance period" outlined in your severance agreement, you may be eligible to file a claim for unemployment insurance. To assist in processing your claim in a timely manner, be sure to use the correct name and address of the entity for which you were employed. If you are not sure which name or address to use, you may contact the HR Service Center at 888-687-3753.

RE-EMPLOYMENT

Provided you are eligible for rehire or reinstatement, you may be subject to repaying a portion of your lump sum severance payment if you become re-employed during your severance period.

If you have further questions, please contact the HR Service Center at 888-687-3753.

This overview highlights some of the features of the benefits program. This summary does not include all plan rules and details. The terms of your benefit plans are governed by legal documents, including insurance contracts. Should there be any inconsistencies between this overview and the legal plan documents, the plan documents are the final authority.

Benefits Continuation Explanation

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